

3. To reduce volatility when financial goals are most at risk (funded ratio).

We will address each in turn.

1. Rising Equity Glide Path

First, rising equity glide paths for retirement aim to reduce portfolio volatility in the pivotal years near retirement when a retiree is most vulnerable to losing the most dollars of wealth with a given market drop. This discussion is based on an article I wrote with Michael Kitces titled “Reducing Retirement Risk with a Rising Equity Glide Path,” which was published in the January 2014 issue of the *Journal of Financial Planning*. People are most vulnerable and have the most at stake when their wealth is largest, which generally happens around retirement. The suggested lifetime stock allocation path thus becomes U-shaped: stock holdings are higher when young, at their lowest around the retirement date, and higher again later in retirement. Exhibit 5.29 illustrates this general pattern.

Exhibit 5.29

Stylized Lifetime Stock Allocation Glide Path with a Rising Equity Glide Path in Retirement

